People as Resource

The big idea

People as resource means looking at a country's working people in terms of their existing productive **skills and abilities**. A large population is not just a burden: when people are educated, trained and healthy, they become an asset, called **human capital**, that produces goods and services and drives economic growth.

HUMAN CAPITAL FORMATION

Human capital is the stock of skill and productive knowledge embodied in people. When the existing human resource is further developed by spending on **education, training and medical care**, it becomes human capital. This investment is called **human capital formation**, and it adds to the productive power of the country just like physical capital formation.

Human capital

- Human capital is in one way **superior** to other resources like land and physical capital: human resource can make use of land and capital; land and capital cannot become useful on their own.
- Investment in human capital (through education, training, health care) yields a return, just like investment in physical capital. Educated and healthy people earn higher incomes and contribute more to society.
- **Japan** is an example: it has no rich natural resources, yet it is a developed country because it **invested in its people**, especially in education and health. These people made efficient use of other resources like land and capital, and developed technology.

Sakal and Vilas (a story from the textbook): Sakal went to school, did a course in **computer programming**, and got a job in a private firm; he later designed new software and earned well. Vilas, his neighbour, could not go to school because of his father's death and poverty; he was sick (arthritis) and sold fish like his mother, earning a meagre income. The difference was **investment in education and health**.

A VIRTUOUS CYCLE

Educated parents invest more in their children's education and health; such children become productive adults and invest in their own children. Uneducated, unhealthy parents may keep their children in a similar disadvantaged state, creating a vicious cycle.

Economic activities by men and women

Activities that add value to the **national income** are called **economic activities**. They are of two kinds:

- **Market activities**: performed for pay or profit, i.e. production of goods or services, including government services.
- **Non-market activities**: production for **self-consumption**, e.g. consumption and processing of primary products and own-account production of fixed assets.

Activities are classified into three sectors:

Sector	Activities
Primary	Agriculture, forestry, animal husbandry, fishing, poultry farming, mining, quarrying
Secondary	Manufacturing (industry)
Tertiary (service)	Trade, transport, communication, banking, education, health, tourism, services, insurance

Women's work: due to historical and cultural reasons, there is a division of labour between men and women in the family. Women generally look after domestic chores, and men work in fields. Women are **not paid** for their household services; this work is not counted in the national income. Women in the organised sector are usually educated and get equal pay; most women in the unorganised sector are less educated, earn low wages, lack job security and legal protection.

Quality of population: education and health

The quality of population depends on the **literacy rate**, **health** of a person indicated by **life expectancy**, and **skill formation** acquired by the people.

Education:

- Education opens new horizons, provides new aspirations and develops values of life; it contributes to the growth of society, national income, cultural richness and efficiency of governance.
- Steps: provision of **universal access, retention and quality** in elementary education, with focus on girls. **Sarva Shiksha Abhiyan** gives elementary education to all children aged **6–14** years by 2010 (a time-bound initiative of the central government with states, local government and community). **Bridge courses** and **back-to-school camps** to increase enrolment; the **mid-day meal scheme** to encourage attendance and retention and improve nutritional status.
- Literacy rate has increased from **18% in 1951 to 74% in 2011**; literacy is higher among males (about 82%) than females (about 65%), and higher in urban than rural areas. It varies from 94% in Kerala to about 62% in Bihar.
- Expansion of higher education: more **vocational streams**, **navodaya vidyalayas** in each district. The plan outlay on education increased substantially.

Health:

- The health of a person helps him realise potential and fight illness. An unhealthy worker becomes a liability for an organisation.

- India has built a vast health infrastructure: primary health centres, community health centres, hospitals and medical colleges. **Life expectancy** has increased to over **68 years in 2014**; **infant mortality rate (IMR)** (death of a child under one year of age per 1,000 live births) has fallen from 147 in 1951 to **37 in 2014**. **Birth rate** fell to 21.8 and **death rate** to 7.1 in 2014. Smallpox has been eradicated, and malaria, polio and other diseases are controlled.
- **Health care, family welfare, nutrition** are national policy priorities, aiming to improve access to health services, especially for underprivileged sections.

Unemployment

Unemployment exists when people who are **willing to work at the going wages cannot find jobs**. The workforce includes people aged **15–59 years**; children below 15 and the aged above 60 are not considered unemployed.

Types of unemployment:

- **Seasonal unemployment** (rural): people are not able to find jobs during some months of the year; those dependent on agriculture face this because there are busy seasons (sowing, harvesting, weeding, threshing) and slack seasons.
- **Disguised unemployment** (rural): people **appear to be employed** but more people work on a job than needed. For example, a family of eight working on a small plot where only five are needed; if three are removed, production does not fall. Their **marginal productivity is zero**.
- **Educated unemployment** (urban): many youth with matriculation, graduation and post-graduation degrees cannot find jobs. There is a paradox: a surplus of manpower in certain categories coexists with a shortage of manpower in others (e.g. technical skills).

Effects of unemployment:

- It leads to **wastage of manpower resource**; people who are an asset turn into a liability.

- It increases economic overload: dependence of the unemployed on the working population increases; quality of life falls.
- Feeling of **hopelessness and despair** among youth; social unrest.
- It has a detrimental impact on the overall growth of the economy and reduces the quality of life of a family and society.

Employment structure: In India, the **primary sector** (agriculture) is the most labour-absorbing, but in recent years there has been a decline in dependence on agriculture partly due to disguised unemployment. Some surplus labour has moved to the secondary or tertiary sector. Unemployment rate in India is low statistically because people with low income and productivity are counted as employed: they work all year but their earnings are low.

DISGUISED DOES NOT MEAN JOBLESS

A person in disguised unemployment **does work** and appears employed, but contributes nothing extra to output. A seasonally unemployed person has **no work** for part of the year.

BOARD FAVOURITE

"Distinguish between disguised and seasonal unemployment", "How is human resource different from other resources?" and "Explain the role of education in human capital formation" are standard questions. Use the Sakal–Vilas story as an example.

Quick recap

- Population becomes an asset when invested in through education, training and health: human capital formation.
- Japan developed by investing in people.
- Economic activities: market and non-market; primary, secondary, tertiary sectors. Women's household work is unpaid.

- Education: literacy 18% (1951) to 74% (2011); Sarva Shiksha Abhiyan, mid-day meal.
- Unemployment: seasonal and disguised (rural), educated (urban); it wastes resources and causes despair.

Practice questions

1. Which country is cited as an example of developing by investing in human resource despite having few natural resources?
   (a) India (b) Saudi Arabia (c) Japan (d) Brazil
2. Disguised unemployment is a situation in which
   (a) people have no work for some months of the year (b) educated people cannot find jobs (c) more people are working on a job than needed, so their marginal productivity is zero (d) people refuse to work at the going wage
3. Which of these is a tertiary sector activity?
   (a) Fishing (b) Mining (c) Manufacturing (d) Banking
4. Which of these is a non-market activity?
   (a) A teacher teaching in a school for salary (b) A farmer selling wheat in the mandi (c) A woman cooking food for her family at home (d) A doctor treating patients in a hospital
5. Sarva Shiksha Abhiyan aims to provide elementary education to children of age group
   (a) 3–6 years (b) 10–15 years (c) 14–18 years (d) 6–14 years
6. India's literacy rate in 2011 was about
   (a) 18% (b) 52% (c) 74% (d) 94%
7. Seasonal unemployment is most commonly found in
   (a) agriculture (b) information technology (c) banking (d) government offices
8. Distinguish between seasonal unemployment and disguised unemployment.
9. What is meant by "people as resource"? How does investment in education and health help in human capital formation?

Answers: 1. c 2. c 3. d 4. c 5. d 6. c 7. a 8. see notes 9. see notes